MRM Royalty Revenue Reconciliation Tracker

Understanding, clarification questions, and proposed workflow for the SVF proof of concept

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Subject: MRM Royalty Revenue Reconciliation Tracker — Understanding, Clarifications and Proposed Workflow

Hi Sherley Ma’am,

I have reviewed the requirements for the MRM Royalty Revenue Reconciliation Tracker. I would like to share my understanding, clarify a few points before implementation, and propose an initial workflow for the SVF proof of concept.

Part 1 — My understanding of the requirements

As I understand it, the main objective is to develop a system that helps MRM compare the sound recording revenue reported by a client, such as SVF, with the corresponding musical-work royalties reported by IPRS.

The system should help us identify differences, missing records, mapping issues, and cases that require clarification from IPRS. It should also help us generate a structured, song-wise reconciliation report and track the follow-up process until the issue is resolved.

- Revenue reconciliation: Compare client revenue with the corresponding IPRS royalty for the relevant platform and usage period.
- Song mapping: Match sound recordings using ISRCs and link them to their corresponding musical works using the internal IPRS work number and other available identifiers.
- Benchmark-based comparison: Calculate the observed royalty percentage and compare it with an approved benchmark to identify indicative differences.
- Flexible statement uploads: Allow the client revenue statement and IPRS statement to be uploaded together or separately, since both statements may not be available at the same time.
- Historical data: Store previously processed statements so that new statements can be compared with relevant historical records.
- Report generation and follow-up: Generate the reconciliation report, support MRM verification and approval, and track enquiries, responses, and resolution.

For the initial proof of concept, I understand that we will focus on SVF, particularly YouTube and Meta, while keeping the design flexible enough to support additional platforms in the future.

Part 2 — Questions requiring clarification

I have a few questions that I would like to clarify before finalising the implementation approach.

Q1. How should the royalty benchmark be defined?

For example, if SVF has an approved benchmark of 25% of the relevant sound recording revenue, should MRM configure this percentage in the software so that the system can calculate the expected amount and compare it with the IPRS-reported royalty? I would also like to understand whether the benchmark can vary by client, platform, territory, or other factors, and who will approve these values.

> Reason for asking: This will help me design the calculation logic correctly instead of hardcoding a percentage that might not apply to every situation.

Q2. How should we handle multiple ISRCs linked to the same IPRS work number?

For example, different versions of a song, such as male and female versions or remixes, may have different ISRCs but share the same internal IPRS work number. Should the system maintain each ISRC as a separate recording linked to the same musical work? If IPRS reports a royalty only at the work level, how should we handle the comparison when the client's revenue is available at the recording level?

> Reason for asking: This will help avoid incorrect song mapping, double-counting, or allocating a work-level royalty to individual recordings without sufficient information.

Q3. Can we upload and process the two statements separately?

Since the client revenue statement and the corresponding IPRS statement may not arrive at the same time, can we upload and store the client statement first and upload the IPRS statement later? The system would then identify the relevant previously stored records and perform the reconciliation when the required information becomes available.

> Reason for asking: This will allow us to process available data without waiting for both statements and avoid repeatedly uploading the same information.

Q4. Should we support historical comparisons between IPRS statements?

Apart from comparing client revenue with IPRS royalties, can we upload a new IPRS statement and compare it with previously received IPRS statements to identify changes, newly reported works, or possible adjustments?

> Reason for asking: This could help us identify changes across reporting periods and support the investigation of previously identified discrepancies. I would keep this separate from the primary revenue reconciliation.

Q5. What should happen when records are missing or do not match?

For example, if a song appears in the client statement but not in the corresponding IPRS statement, should it be flagged as missing IPRS data rather than automatically treating the royalty as zero? Similarly, if an ISRC is not present in our verified catalogue or appears with a conflicting work number, should the system send it for manual verification?

> Reason for asking: This will help distinguish missing information from an actual discrepancy and prevent incorrect conclusions.

Q6. What calculation basis should we use?

Should the comparison use gross revenue, net revenue, or only the portion attributable to the client's relevant ownership or contractual share? Also, should the system restrict comparisons to matching platforms, usage periods, territories, and currencies?

> Reason for asking: Comparing amounts calculated on different bases or covering different periods could produce misleading differences.

Q7. What is the expected approval and follow-up process?

After generating the report, should the system support MRM verification and approval, preparation of the IPRS enquiry, recording the response, setting follow-up dates, and tracking corrections or additional royalties until resolution?

> Reason for asking: This will help me understand the complete workflow beyond generating the reconciliation report.

Part 3 — Proposed solution and initial workflow

Based on my current understanding, I propose the following approach for the initial SVF proof of concept.

1. Use the existing catalogue of approximately 2,000 songs.

I already have a catalogue containing the internal IPRS work number and the ISRCs associated with each work. I propose importing this data into the system as the initial mapping reference. The software can use it to identify known recordings and musical works, flag previously unseen ISRCs or conflicting mappings, and send uncertain matches for manual verification. Once a mapping has been verified, the approved relationship can be saved and reused for future statements.

2. Support two statement-upload workflows.

Combined upload: Upload the client sound recording revenue statement and the corresponding IPRS statement together, validate them, and start reconciliation.
Separate upload: Upload and store the client statement first. When the corresponding IPRS statement arrives, upload it separately and reconcile it against the relevant previously stored records.
This will allow us to handle situations where the two statements are received at different times.

3. Store historical statements and processed records.

I propose maintaining structured records of uploaded statements, including the client, platform, usage period, territory, currency, source statement reference, and relevant song identifiers. This will allow us to reuse existing data, detect duplicate uploads, and compare new statements with relevant historical records.

4. Implement mapping, validation, and reconciliation.

Before comparing amounts, the system should validate the statements and check whether the records are sufficiently comparable. It should then calculate the observed royalty percentage and indicative variance using the benchmark and calculation rules approved by MRM. Missing records, uncertain mappings, period mismatches, and other issues should be flagged for review rather than automatically treated as confirmed underpayment.

5. Generate the report and support follow-up.

The system should produce a song-wise report containing the relevant identifiers, client revenue, IPRS royalty, observed percentage, applicable benchmark, indicative variance, mapping status, and source references. After verification and approval, the report can be used to prepare the IPRS enquiry and track the subsequent response and resolution.

6. Keep historical IPRS comparison as a separate function.

The system can also compare a new IPRS statement with earlier IPRS statements. However, I propose treating this as a separate workflow so that changes between statements are not confused with the primary revenue reconciliation or automatically treated as confirmed payments.

I have attached the proposed workflow diagram to make the process easier to review. Once I receive clarification on the above questions, I will refine the workflow, finalise the database structure and calculation rules, and share the updated technical approach before proceeding with the remaining implementation.

Estimated timeline

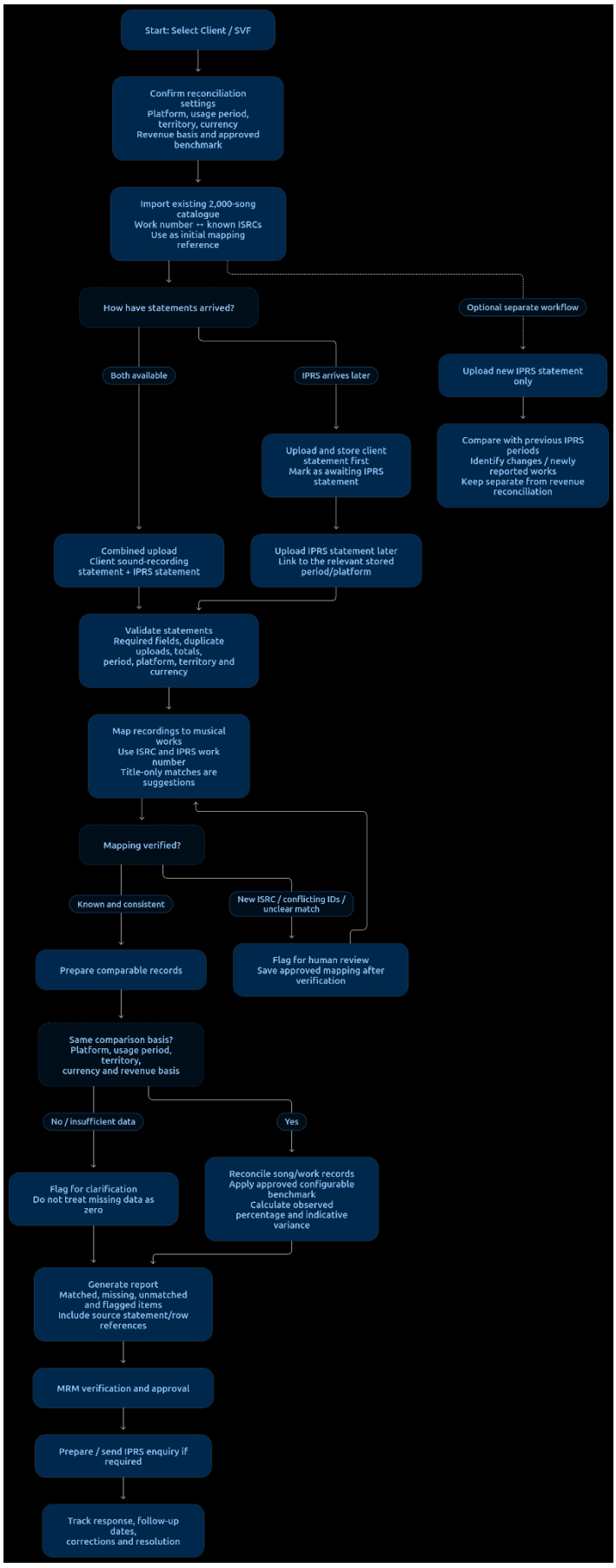
I propose targeting Friday, 23 October 2026, for an initial working version of the SVF proof of concept, subject to timely confirmation of the requirements and availability of the required sample statements. The initial version would focus on the agreed core workflow; additional platform support and production-level enhancements can be planned after validation.

Please let me know if this approach aligns with your expectations or if any changes are required.

Thank you.

Appendix — Proposed workflow diagram

Initial SVF proof of concept, including the existing 2,000-song catalogue, combined and separate uploads, mapping verification, reconciliation, and historical IPRS comparison.



Note: The benchmark and calculation basis are subject to confirmation by MRM. Variances should be treated as indicative until reviewed.